

Agreement Is Not a Forecast

Monday opens with the market unusually of one mind, and the crowded position is not the index.

THE READING

Friday's S&P 500 closed near 7,785, down 0.2%, and still finished a third consecutive higher week. That was the answer to July retail sales falling 0.6% against a consensus near plus 0.2%. Hedgeye's immediate-term band for the index runs 7606 to 7861: 76 points of upside, 179 points of downside. The VIX went out near 14.6 against a band of 14.05 to 16.43. The dollar index printed 99.72 inside a 99.25 to 100.13 band, and Keith McCullough noted on Friday that long dollar is the most consensus net-long position in macro on CFTC data. The mood this morning is not excitement. It is agreement.

WHAT WISDOM WOULD SAY

Keynes gave Chapter 12 of the General Theory to the problem of valuing things nobody can know. His answer was that we fall back on a convention: we assume the existing state of affairs continues, except where we have specific reason to expect a change. The convention is useful, and it is not a forecast. It is an agreement to stop forecasting.

His point was that its stability is borrowed. A valuation held because a great many people hold it can move violently on news too small to justify the move, because what shifts is not the facts but the number of people still willing to hold the view. The strength of a consensus and its fragility are the same property, counted once.

This morning's convention has two clauses: inflation is falling, and the Fed holds. Both were priced through a July PPI headline of 0.0% that was made by gasoline, while core ex food, energy and trade services ran plus 0.4% on the month. Wednesday's FOMC minutes are the week's one document written before the convention formed, by people who were in the room when three governors dissented in favour of a hike.

THE RISK IT JUSTIFIES

The exposed position is the dollar, not the index. Standing against a crowded long is where a convention breaking pays you; owning index beta 76 points from a band ceiling is where it costs you. That argues for leaving the equity book alone until Wednesday, holding what is already on and adding nothing, and for taking new risk, if any is taken, where the crowd is thin rather than where it is thick. Copper sits in the lower third of a bullish range. That is a location, not a call.

It argues equally against buying volatility as insurance here. The VIX near its floor is cheap for a reason, and owning it now needs the convention to break on this week's schedule rather than merely to break.

Two things would change the answer. Minutes showing the July hold was substantively near-unanimous would turn the convention into a forecast, which is a sturdier thing. A dollar close above 100.13 would say the crowd is not yet crowded enough to move.

Which of these would you still hold if you were the only one holding it?